STUDYHUB

CLASS 12 – MP BOARD

ECONOMICS — SET 1

ORIGINAL SAMPLE QUESTION PAPER

Time: 3 Hours   Maximum Marks: 80
Medium: English   Set: 1

GENERAL INSTRUCTIONS

1. All questions are compulsory.
2. Questions 1 to 5 are objective-type questions.
3. Questions 6 to 15 carry 2 marks each.
4. Questions 16 to 19 carry 3 marks each.
5. Questions 20 to 23 carry 4 marks each.
6. Internal choices are provided from Question 6 to Question 23.
7. Show all necessary calculations in numerical questions.
8. Draw diagrams wherever necessary.

SECTION – A
OBJECTIVE TYPE QUESTIONS

Q.1 Choose the correct option. 1×6=6

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The study of individual economic units is called:

A. Macroeconomics
B. Microeconomics
C. Public Economics
D. International Economics

The total money value of all final goods and services produced within the domestic territory of a country during a year is called:

A. NNP
B. GDP
C. GNP
D. Personal Income

Which institution is known as the central bank of India?

A. SBI
B. RBI
C. NABARD
D. SEBI

When government expenditure exceeds government receipts excluding borrowings, it is called:

A. Revenue Deficit
B. Fiscal Deficit

C. Primary Deficit
D. Budget Surplus

The rate at which the central bank lends money to commercial banks is called:

A. Bank Rate
B. Repo Rate
C. Reverse Repo Rate
D. CRR

Balance of Payments records:

A. Only exports
B. Only imports
C. All economic transactions between residents of a country and the rest of the world
D. Only government transactions

Q.2 Fill in the blanks. 1×6=6

(i) The desire backed by purchasing power is called ______.

(i) The difference between the value of exports and imports of goods is called ______ Balance.

(i) Money acts as a ______ of value.

(i) The tax whose burden cannot be shifted to another person is called a ______ tax.

(i) The sum of consumption expenditure and investment expenditure is called ______ demand.

(i) The exchange rate determined by market forces is called a ______ exchange rate.

Q.3 Write True or False. 1×6=6

(i) Microeconomics studies the economy as a whole.

(i) GDP includes the value of final goods and services.

(i) Commercial banks create credit.

(i) Fiscal policy is related to government revenue and expenditure.

(i) Imports are always recorded as credit items in Balance of Payments.

(i) A fall in price generally increases quantity demanded, other things remaining constant.

Q.4 Match Column A with Column B. 1×7=7

Column A	Column B
(i) GDP	(a) Central Bank
(ii) RBI	(b) Total domestic production
(iii) Repo Rate	(c) Borrowing rate of RBI
(iv) Fiscal Policy	(d) Government revenue and expenditure
(v) Balance of Trade	(e) Exports and imports of goods
(vi) CRR	(f) Cash reserve with central bank
(vii) Inflation	(g) Sustained rise in general price level

Q.5 Answer in one word/one sentence. 1×7=7

(i) What is opportunity cost?

(i) What is meant by marginal utility?

(i) Define national income.

(i) What is money?

(i) What is fiscal deficit?

(i) What is Balance of Payments?

(i) What is meant by foreign exchange rate?

SECTION – B
SHORT ANSWER QUESTIONS

Q.6 What is meant by the law of demand? State one exception to it.

OR

Q. Define price elasticity of demand and write its formula.

Q.7 Differentiate between total utility and marginal utility.

OR

Q. What is consumer equilibrium? State its condition in terms of marginal utility.

Q.8 What is production function? State its basic components.

OR

Q. Distinguish between fixed factors and variable factors.

Q.9 What is meant by market supply? State any one determinant of supply.

OR

Q. Differentiate between movement along a supply curve and shift in supply curve.

Q.10 What is GDP? Why are intermediate goods excluded while calculating GDP?

OR

Q. Differentiate between nominal GDP and real GDP.

Q.11 What is depreciation? Why is it deducted while calculating NDP?

OR

Q. Differentiate between domestic income and national income.

Q.12 What is meant by money supply? Name any two components of money supply.

OR

Q. State any two functions of commercial banks.

Q.13 What is government budget? State any one objective of government budget.

OR

Q. Differentiate between revenue receipts and capital receipts.

Q.14 What is Balance of Trade? How is it different from Balance of Payments?

OR

Q. What is foreign exchange market? State one function of this market.

Q.15 What is meant by aggregate demand? Name its major components.

OR

Q. What is investment multiplier? Write its formula.

SECTION – C
SHORT ANSWER QUESTIONS

Q.16 Explain any three determinants of price elasticity of demand.

OR

Q. Explain any three factors affecting individual demand for a commodity.

Q.17 From the following data, calculate GDP at Market Price:
Private Final Consumption Expenditure = ■500 crore
Government Final Consumption Expenditure = ■150 crore
Gross Domestic Capital Formation = ■200 crore
Net Exports = ■50 crore

OR

Q. Calculate NDP at Market Price if:
GDP at Market Price = ■1,000 crore
Consumption of Fixed Capital = ■100 crore.

Q.18 Explain any three functions of the Reserve Bank of India.

OR

Q. Explain any three methods used by the central bank to control credit.

Q.19 Explain any three objectives of government budget.

OR

Q. Explain the difference between revenue deficit, fiscal deficit and primary deficit.

SECTION – D
LONG ANSWER / NUMERICAL QUESTIONS

Q.20 Explain the relationship between Total Utility and Marginal Utility with the help of a suitable example.

OR

Q. Explain consumer equilibrium using the Marginal Utility Analysis approach.

Q.21 Calculate National Income from the following data:
Compensation of Employees = ■800 crore
Operating Surplus = ■500 crore
Mixed Income of Self-employed = ■300 crore
Net Factor Income from Abroad = ■50 crore
Consumption of Fixed Capital = ■100 crore
Net Indirect Taxes = ■150 crore

OR

Q. Calculate National Income:
Compensation of Employees = ■900 crore
Operating Surplus = ■400 crore
Mixed Income = ■250 crore
Net Factor Income from Abroad = ■40 crore.

Q.22 Explain any four functions of money.

OR

Q. Explain the process of credit creation by commercial banks.

Q.23 Explain the meaning of Balance of Payments and its major components.

OR

Q. Explain any four causes of disequilibrium in Balance of Payments.

MARKS VERIFICATION

Questions	Marks
Q.1	6
Q.2	6
Q.3	6
Q.4	7
Q.5	7
Q.6–Q.15	20
Q.16–Q.19	12
Q.20–Q.23	16
TOTAL	**80**

■ 6 + 6 + 6 + 7 + 7 + 20 + 12 + 16 = 80 Marks

SHORT ANSWER KEY

Q.1: B, B, B, B, B, C

Q.2: Want; Trade; store; direct; aggregate; flexible

Q.3: False, True, True, True, False, True

Q.4: (i)–(b), (ii)–(a), (iii)–(c), (iv)–(d), (v)–(e), (vi)–(f), (vii)–(g)

Q.17: GDP at Market Price = ■900 crore; NDP at Market Price = ■900 crore

Q.21: National Income = ■1,500 crore (first alternative, using factor-income approach).

Note: Numerical answers should be supported by proper formula and working. For descriptive questions, equivalent correct answers should also receive marks.